What is Contract ?

- A contract is a agreement between two entities, which is signed when one entity wants to purchase goods and/or services from another entity.
- The entity on the buying side is called the Buyer or Customer and the other entity is called the Seller or Vendor. A contract between the Buyer and the Seller is legally binding on both of them.
- Contract' as the term specifies is an agreement between two parties in general. In project management, it's a formal agreement between a buyer and a seller (more often referred to as supplier). The agreement is made to procure goods and services required for the agreed project.
- This document needs to be prepared by the Project Manager (or the contract project manager if assigned). It is in coordination with Procurement Manager during the project planning stage.
- It has to be documented as a Procurement Management plan, which is a part of the primary Project Management Plan.
- The buying in of both goods and services, rather than doing it yourself is attractive when is money is available but other less flexible, type of resource, especially staff time, are in short supply
- Potential suppliers are more likely to be flexible accomodating before any contract has been signed than they will be affordable

➢ The acquisition and supply process are depicted for pre-contract and post-contract.

➢ Five major processes are,

1) Acquisition
2) Supply
3) Operation
4) Maintenance
5) Development

Types of Contract

- In the world of business, contracts are used for establishing business deals and partnerships. The parties involved in the business engagement decide the type of the contract.
- Usually, the type of the contract used for the business engagement varies depending on the type of the work and the nature of the industry.
- The contract is simply an elaborated agreement between two or more parties. One or more parties may provide products or services in return to something provided by other parties (client).
- The contract type is the key relationship between the parties engaged in the business and the contract type determines the project risk.

➢The external resources required could be in the form of services.

➢A simple example of this could be using temporary staff on short term contract to carry our some project tasks

➢Completed software package are classified as,

➢**Bespoke system** – Kind of system is developed for an individual that is created from scratch.

➢**Off the shelf** – denotes what the user buys as it as and called as shrink wrapped software.

Customized off the shelf – represents a basic core system that is modified based on the requirements of the client.

Another way of classifying contract is by the way that the payments to supplier is calculated. Some of them are

1. Fixed price contract
2. Time and material contract
3. Fixed price per delivery unit contracts

1. Fixed Price Contract (Lump Sum)

- The price is fixed when the contracts is signed.

- There will be no changes in the contract terms.
- This is the simplest type of all contracts. The terms are quite straightforward and easy to understand.
- To put in simple, the service provider agrees to provide a defined service for a specific period of time and the client agrees to pay a fixed amount of money for the service.
- This contract type may define various milestones for the deliveries as well as KPIs (Key Performance Indicators). In addition, the contractor may have an acceptance criteria defined for the milestones and the final delivery.
- The main advantages of this type of contract is that the contractor knows the total project cost before the project commences.
- With fixed price contracts, also known as lump sum contracts, the buyer and service provider agree on a fixed price for the services in question.
- This type of contract is low-risk for the buyer, but high-risk for the seller since the time and costs of the project could exceed the fixed price. For this reason, a fixed price contract should include a detailed scope of work that clearly outlines what the buyer can expect for the agreed-upon price.
- When the contract is signed, the seller must complete the task or deliver the goods as agreed or risk being in breach of contract.

Types of fixed price contracts include the following:

- **Firm Fixed Price Contracts:** This type of fixed price contract is typically used in government and partial government projects where the scope is defined in detail. This makes it easy to create a request for proposals and to compare the bids you receive. The downside for this contract is that deviating from the defined scope can be expensive.
- **Fixed Price Incentive Fee Contracts:** With this type of fixed price contract, the buyer also offers a performance-based incentive as an extra payment to the seller. Performance can be measured for this purpose by various metrics, including time, cost, or performance.

- **Fixed Price Award Fee Contracts:** As with the fixed price incentive fee, this type of contract offers a bonus for exceeding a specific performance metric. For example, if the seller delivers the product early, he or she could be eligible for a bonus equal to 10 percent of the total contract.
- **Fixed Price With Economic Price Adjustment:** With this type of contract, although the price is fixed, it can be readjusted with fluctuations in the market.

Fixed price contracts are commonly used on a deliverables basis for outsourcing and turnkey procurement

Advantages,

1)Known customer expenditure

2)Supplier motivation

Disadvantages,

1)Higher prices to allow for contingency

2)Difficulties in modifying requirements

3)Upward pressure on the cost of changes

4)Threat to system quality

2. Time and Material contracts - T&M(Retainer)

- **This contract is used when labor is the main deliverable and typically provides the seller an hourly rate.**
- **Estimates the overall cost based on the customer's requirements and it is not based on the final payment.**
- This is one of the most beautiful engagements that can get into by two or more parties. This engagement type is the most risk-free type where the time and material used for the project are priced.
- The contractor only requires knowing the time and material for the project in order to make the payments. This type of contract has short delivery cycles, and for each cycle, separate estimates are sent of the contractor.

- Once the contractor signs off the estimate and Statement of Work (SOW), the service provider can start work.
- Unlike most of the other contract types, retainer contracts are mostly used for long-term business engagements.
- **This is a hybrid of Fixed-Price and Cost Reimbursable contracts. Here, both parties share the risk.**
- You use a Time and Materials contract when the deliverable is "labor hours." Here, the project manager will state the required qualifications and experience to the seller who will provide the staff.
- This contract is used to hire experts or outside support.
- In this contract, the buyer can specify the hourly rate with a "not-to-exceed" limit.
- Example: You will pay a technician 20 USD per hour.

Advantages,

➢Ease of changing requirements

➢Lack of price pressure

Disadvantages,

➢Customer liability

➢Lack of incentives for supplier

3.Fixed price per delivery unit contracts

- Contract is based on function point counting.
- Size of the system which includes LOC, a price per unit is also quoted.
- Scope grows during the development process.
- This is often assosiated with function point counting. The size of the system to be delivered is calculated or estimated at the outset of the project.

- The size could be estimated in lines of code, but FPs can be more easily derived from requirements documents. A price per unit is also quoted. The final price is then the unit price multiplied by the number of units.

Advantages:

- Customer understanding
- Comparability
- Emerging functionality
- Supplier efficiency
- Life cycle range

Disadvantages,

- Difficulties with software size measurement
- Changing requirements

Based on the approach used in contractor selection the contracts can be classified as,

1) Open tendering process

2) Restricted tendering process

3) Negotiated procedure

1.Open tendering process – evaluation process can be time consuming and also expensive in open tendering process.

2.Restricted tendering process – bids can be made only by suppliers who have been invited by the customer.

3.Negotiated procedure – the restricted tendering process fails because of the defects which lead to additional payment towards the completion of the project.

1. Requirement analysis
2. Evaluation plan
3. Invitation to tender
4. Evaluation to the proposals

11.1) Requirements analysis

- Preparation of an requirement document
- Introduction
- Description of the existing system
- Current environment of the system
- Customer's future plans
- System requirements based on either mandatory or desirable
- Deadlines have to be defined
- Additional information requires from the potential suppliers.

11.2) Evaluation plan

- Preparing a plan to evaluate the submitted proposals.
- Evaluating the desirable requirements
- Validating the quality of the software system
- Cost incurred for the life time of the proposed system.

11.3) Invitation to tender

- Invitation to tender is not an offer itself but an invitation for prospective suppliers to make an offer.
- System requirements
- Defining the scope of the system
- Instruction to the bidders

- Instruction to the bidders
- List of the software products
- Technical constraints

11.4) Evaluation of proposals

- Evaluation has to be done in a planned manner
- Questioning supplier representatives
- Visiting the site of the development process
- Conducting practical tests
- Reduces risk of requirements.

Contract Management:-

- Contract management is the process of managing contract creation, execution, and analysis to maximize operational and financial performance at an organization, all while reducing financial risk.
- Organizations encounter an ever-increasing amount of pressure to reduce costs and improve company performance. Contract management proves to be a very time-consuming element of business, which facilitates the need for an effective and automated contract management system.
- When two companies wish to do business with each other, a contract specifies the activities entered into by both organizations and the terms through which they will each fulfill their parts of the agreement.
- Contracts affect business profitability in a very large way due to the emphasis on revenue and expenses.
- Contract management is when someone takes on the responsibility of managing contracts for employees or vendors or other parties.
- Contract managers need legal knowledge to accurately lead the contract management process.
- Not all companies have set contract managers, but major defense firms or companies that frequently work with the government tend to use contract managers.
- It monitors the conversation between the supplier and the customer while the concentrated work is being carried out.

- Customer can make changes to the future direction of the project and make decisions.
- The entire project will require representative of the supplier and the customer to interact with each other at different points in the development process.
- Contract management is a continuous process, starting with analysis and evaluation of the customer's inquiry, and carrying on until contract closure, upon fulfillment of all contractual obligations.

- This process overview indicates that contract management activities seem to belong to the responsibilities of the project manager and the whole projectteam.

- Contract Management, a part of the Project management, deals with the vendor/seller/supplier (as termed in the contract). It also manages the procurements according to the terms and conditions set in the 'Contract.' The terms and conditions are agreed mutually between the buyer and seller.

- Contract management is the art and science of managing a contractual agreement throughout the contracting process.
- The procurement contract being a formal document must be carefully designed/planned. It should also be mutually agreed to avoid the complications between the buyer and the seller. It is all to execute the project smoothly for the timely completion.

Following are the guidelines to be considered while deciding on procurement contract:

- Complexity of procurement
- Location of procurement
- Availability of suppliers/contractors
- Local governing regulations

Elements of successful contract management

It isn't enough that an organization has professionals in place to handle contract management. Employees must be augmented with the presence of processes and software companions to satisfy increasing compliance and analytical needs. When a contract management strategy is successfully implemented, organizations can expect to see:

- The expected business benefits and financial returns are being realized.
- The supplier is cooperative and responsive to the organization's needs.
- The organization encounters no contract disputes or surprises.
- The delivery of services is satisfactory to both parties.

Stages of contract management

Contracts play a significant role in the end-of-quarter crunch, and are broken up into stages to organize efforts and structure the typical contract process. When done manually, creating a contract can prove quite time-consuming. The process includes several of the following steps:

1. **Initial requests.** The contract management process begins by identifying contracts and pertinent documents to support the contract's purpose.

2. **Authoring contracts.** Writing a contract by hand is a time-consuming activity, but through the use of automated contract management systems, the process can become quite streamlined.

3. **Negotiating the contract.** Upon completion of drafting the contract, employees should be able to compare versions of the contract and note any discrepancies to reduce negotiation time.

4. **Approving the contract.** The instance in which most bottlenecks occur is getting management approval. Users can pre-emptively combat this by creating tailored approval workflows, including parallel and serial approvals to keep decisions moving at a rapid pace.

5. **Execution of the contract.** Executing the contract allows users to control and shorten the signature process through the use of electronic signature and fax support.

6. **Obligation management.** This requires a great deal of project management to ensure deliverables are being met by key stakeholders and the value of the contract isn't deteriorating throughout its early phases of growth.

7. **Revisions and amendments.** Gathering all documents pertinent to the contract's initial drafting is a difficult task. When overlooked items are found, systems must be in place to amend the original contract.

8. **Auditing and reporting.** Contract management does not simply entail drafting a contract and then pushing it into the filing cabinet without another thought. Contract audits are important in determining both organizations' compliance with the terms of the agreement and any possible problems that might arise.

9. **Renewal.** Using manual contract management methods can often result in missed renewal opportunities and business revenue lost. Automating the process allows an organization to identify renewal opportunities and create new contracts.

What Are the Challenges of Contract Management?

1. Manual contract management introduces bottlenecks into the sales cycle.
Legal is often the department responsible for creating, managing and maintaining contracts within the enterprise. Unfortunately, when Legal has to manage contracts manually, the contract management process gets bottlenecked. This leads other departments, particularly Sales, to see Legal as "the department of no."
2. Manual contract management introduces (manual) errors.
And a lot is riding on the Legal team if they don't catch mistakes, such as:

- Non-compliance
- Revenue leakage
- Extended sales cycle times

- Jeopardized customer relationships

What is Acceptance Testing?

Acceptance testing, a testing technique performed to determine whether or not the software system has met the requirement specifications. The main purpose of this test is to evaluate the system's compliance with the business requirements and verify if it is has met the required criteria for delivery to end users.

There are various forms of acceptance testing:

- User acceptance Testing
- Business acceptance Testing
- Alpha Testing
- Beta Testing

Types of Acceptance Testing:

1. **User Acceptance Testing (UAT):**
   User acceptance testing is used to determine whether the product is working for the user correctly. Specific requirements which are quite often used by the customers are primarily picked for the testing purpose. This is also termed as *End-User* Testing.
2. **Business Acceptance Testing (BAT):**
   BAT is used to determine whether the product meets the business goals and purposes or not. BAT mainly focuses on business profits which are quite challenging due to the changing market conditions and new technologies so that the current implementation may have to being changed which result in extra budgets
3. **Contract Acceptance Testing (CAT):**
   CAT is a contract which specifies that once the product goes live, within a predetermined period, the acceptance test must be performed and it should pass all the acceptance use cases.
   Here is a contract termed as Service Level Agreement (SLA), which includes the terms where the payment will be made only if the Product services are in-line with all the requirements, which means the contract is fulfilled.
4. **Regulations Acceptance Testing (RAT):**
   RAT is used to determine whether the product violates the rules and regulations that are defined by the government of the country where it is being released. This may be unintentional but will impact negatively on the business.
5. **Operational Acceptance Testing (OAT):**
   OAT is used to determine the operational readiness of the product and is a non-functional testing. It mainly includes testing of recovery, compatibility, maintainability, reliability etc.
   OAT assures the stability of the product before it is released to the production.

Use of Acceptance Testing:

- To find the defects missed during the functional testing phase.
- How well the product is developed.
- A product is what actually the customers need.
- Feedbacks help in improving the product performance and user experience.

- Minimize or eliminate the issues arising from the production.

Managing People and Organiging Terms:

- There are 3 main concerns in OB; staff selection, staff development, and staff motivation
- We will look at how the project leader can encourage effective group working and decision making while giving purposeful leadership where needed.
- The issues in this chapter have impact at all stages of project planning and execution, particularly in;
- Some objectives can address health and safety during the project (step 1: Identify project scope and objectives)
- Although project leaders might have little control over organizational structure, they need to be aware of its implications (step2: Identify project infrastructure)
- The scope and nature of activities can be set in a way they will enhance staff motivation (Step 4: Identify the products and activities)
- Many risks to project success relate to staffing (Step 6: Identify activity risks)
- The qualities of individual members of staff should be taken into account when allocating staff to activities (Step 7: Allocate resources)

Understanding Behaviour

- Behaviours associated with complex and challenging mental health, dementia or other neurological conditions include aggression, wandering, agitation.
- These apparent changes in the personality of the person with the disease are a major source of distress both to the person who is presenting the behaviours and to those who experience them – the caregiver, the family members, and the service providers in all sectors of the health-care system.
- People differ from each other in their needs and values. Group effort eases their task of achieving organizational goals effectively. Human relations can be defined as motivating people in organizations to work as a team.

- Although human relationships have existed from quite some time in the past, the study of human relations has developed only recently. Social sciences like sociology, psychology, anthropology, economics and political science have contributed to the development of OB and human relations.

Goal of Human Relations

Create a win-win situation by:

- satisfying employee needs
- while achieving organizational objectives

Win-win situation:

occurs when the organization and the employees get what they want

Four Myths of Human Relations

Myth 1: Technical skills are more important than human relations skills

Myth 2: Human relations is just common sense

Myth 3: Diversity is overemphasized

Myth 4: Leaders are born not made

The Total Person Approach

- Realizes that an organization employs the whole person, not just his or her job skills
- People play many roles
  - throughout their lives
  - throughout each day
- Organizations view employees as total people
- Organizations are trying to give employees a better quality of work life

Levels of Behavior

- **Individual behavior** – influences group behavior

- **Group Level Behavior**-– consists of the things two or more people do and say as they interact

Organizational Level Behavior

- Organization – a group of people working to achieve an objective
- Created to produce goods and services for the larger society
- Organizational behavior – the collective behavior of an organization's individuals and groups

STEPWISE FRAMEWORK:

ORGANIZATIONAL BEHAVIOUR: A BACKGROUND **(Add from book pgno. 252)**

- Organizational behavior (OB) is the study of how people behave in organizational settings. Its principles are applied with the goal of making organizations and the people in them work more effectively together.
- Organizational behavior research can focus on individual behavior within the organization, how groups work together, how the organization itself behaves, and how all of these are interconnected and impact each other.

  The study of organizational behavior includes areas of research dedicated to improving job performance, increasing job satisfaction, promoting innovation, and encouraging leadership. Each has its own recommended actions, such as reorganizing groups, modifying compensation structures, or changing methods of performance evaluation.

Importance of OB

While working in an organization, it is very important to understand others behavior as well as make others understand ours. In order to maintain a healthy working environment, we need to adapt to the environment and understand the goals we need to achieve. This can be done easily if we understand the importance of OB.

Following points bring out the importance of OB −

- It helps in explaining the interpersonal relationships employees share with each other as well as with their higher and lower subordinates.
- The prediction of individual behavior can be explained.
- It balances the cordial relationship in an enterprise by maintaining effective communication.
- It assists in marketing.
- It helps managers to encourage their sub-ordinates.
- Any change within the organization can be made easier.

- It helps in predicting human behavior & their application to achieve organizational goals.
- It helps in making the organization more effective.

Scientific Management Theory

Scientific management approach was developed by **F.W. Taylor** at the beginning of the 20th century.

- This theory supported the use of certain steps in scientifically studying each element of a job, selecting and training the best workers for the job.
- It provided a scientific rationale for job specialization and mass production. His assumption was that employees are motivated largely by money.
- Taylor recommended co-operation among workers as against chaotic individualism.

Characteristics of Organizational Behavior (OB)

Characteristics of Organizational Behavior are:

1. **Separate Field of Study and not a Discipline Only**

   OB is based on multi-interdisciplinary orientation and is, thus, it is not based on a specific theoretical background.

2. **An Interdisciplinary Approach**

   Organizational behavior is an applied behavioral science built on contributions from a number of behavioral disciplines, mainly psychology and social psychology, sociology, and anthropology.

3. **Applied Science**

OB can be called both science as well as art because it involve both applied research and its application in organizational analysis.

4. **Normative Science**

OB describes how the findings of applied research can be applied to socially accepted organizational goals whereas the positive science discusses the only cause-effect relationship

5. **Humanistic and Optimistic Approach**

OB deals with the people and their interaction with organisations.

6. **Total System Approach**

System approach is one that integrates all the variables, affecting organizational functioning.

➢ Selecting the right person for the job

- Having the right people on staff is crucial to the success of an organization. Various selection devices help employers predict which applicants will be successful if hired. These devices aim to be not only valid, but also reliable.
- Validity is proof that the relationship between the selection device and some relevant job criterion exists.
- Reliability is an indicator that the device measures the same thing consistently. For example, it would be appropriate to give a keyboarding test to a candidate applying for a job as an administrative assistant.
- However, it would not be valid to give a keyboarding test to a candidate for a job as a physical education teacher. If a keyboarding

test is given to the same individual on two separate occasions, the results should be similar. To be effective predictors, a selection device must possess an acceptable level of consistency.

- Taylor stressed the need for the right person for the job. Many factors, such as the use of software tools and methodologies, affect programming productivity.
- However, one of the biggest differences in software development performance is among individuals. As early as 1968, a comparison of experienced professional programmers working on the same programming task found a ratio, in one case, of 1:25 between the shortest and longest time to code the program and, more significantly perhaps, of 1:28 for the time taken to debug it.
- Amanda and Brigette should therefore be rightly concerned to get the best possible people working for them.

The recruitment process:-

- Although this is an important matter, it has to be stressed that often project leaders have little choice about the people who will make up the teams - they have to make do with the 'materials that are to hand'.

- Recruitment might very well be regarded as an organizational responsibility: you might be recruiting someone who will, over a period of time, work in many different parts of the same organization.

- Meredith Belbin usefully distinguishes between eligible and suitable candidates.

- An eligible candidate is one whose CV (curriculum vitae or résumé) shows, for example, the 'right' number of years in some previous post and the 'right' paper qualifications.

- Suitable candidates are those who can actually do the job well. An easy mistake is to select an eligible candidate who is not in fact suitable. Suitable candidates who are not technically eligible can, on the other hand, be ideal candidates because, once in post, they are more likely to remain loyal to the organization.

- Belbin suggests that selection methods that centre on the assessment of actual skills rather than past experience and also a willingness to provide training to make good minor gaps in expertise can be a more effective way of placing suitable staff.

- It also seems to us to show that policies that avoid discrimination on the grounds of race, gender, age or irrelevant disabilities can be not just socially responsible but also a shrewd recruitment policy.

A general approach might be the following.

1. **Create a job specification** Advice is needed, as there will be legal implications in an official document. However, formally or informally, the requirements of the job should be documented and agreed.

2. Create a **job holder profile** Using the job specification, a profile of the person needed to carry out the job is constructed. The qualities, qualifications, education and experience required would be listed.

3. **Obtain applicants** Typically, an advertisement would be placed, either within the organization or outside in the trade or local press. The job holder profile would be examined carefully to identify the medium most likely to reach the largest number of potential applicants at least cost. For example, if a specialist is needed it would make sense to advertise in the relevant specialist journal. The other principle is to give enough information in the advertisement to allow an element of self-elimination. By giving the salary, location, job scope and any essential qualifications, the applicants will be limited to the more realistic candidates.

4. **Examine CVs** These should be read carefully and compared to the job holder profile - nothing is more annoying for all concerned than when people have CVs which clearly indicate that they are not eligible for the job and yet they are called for interview.

5. **Interviews etc.** A number of different selection techniques can be tried, including aptitude tests, personality tests, and the examination of samples of previous work. All these methods must be related to specific qualities detailed in the job holder profile.

- Interviews are the most commonly used method. It is better if there is more than one interview session with an applicant and with each session there should not be more than two interviewers because a greater number reduces the possibility of follow-up questions and discussion.

- Some formal scoring system for the qualities being judged should be devised and interviewers should then decide scores individually which are then compared. An interview should be of a technical nature where the practical expertise of the candidate is assessed, or of a more general nature if not.

- In the latter case, a major part of the interview will in fact be evaluating and confirming what was stated in the CV - for example any time gaps in the education and employment history would be investigated, and the precise nature of jobs previously done would need to be explored.

6. **Other Procedures** References will need to be taken up where necessary, and a medical examination might be needed.

➢ INSTRUCTION IN THE BEST METHODS:-

- When a new member of the team is recruited, the team leader will need to plan that person's induction into the team very carefully. Where a project is already well under way, this might not be easy. However, the effort should be made - it should pay off eventually as the new recruit will become a fully effective member of the team more quickly.
- The team leader should also be aware of the need to assess continually the training needs of their team members. Just as you formulate a user requirement before considering a new system, and you construct a job holder profile before recruiting a member of staff, so a training needs profile is drawn up for each staff member before you consider specific courses.
- Some training can be provided by commercial training companies. Where money is tight, other sources of training should be considered but training should not be abandoned altogether even if it consists

only of a team member's being told to find out about a new software tool and then demonstrating it to colleagues.

- Of course the nice thing about external courses is that one gets to talk to colleagues from other organizations - but attending meetings of your local branch of one of the IS/IT professional associations can serve the same purpose.
- The methods learnt need, of course, to be actually applied. Reviews and inspections should help to ensure this.

What is the purpose of instruction?

The purpose of instruction is to help people learn. The goal of instructional designers is to make learning easier, quicker, and more enjoyable. Some people view training as a process of finding out who the brightest employees are. But performance in a course is not very highly correlated with the basic ability to be good on the job. We believe that an instructional designer's job is to help everyone to learn and be successful.

Challenge: How to make good instruction?

- The key to improving our instruction is to know what methods of instruction to use when. It's helpful to think of different methods of instruction as different tools for a carpenter. If you only have a hammer, then everything looks like a nail to you. And you won't be able to make a very good piece of furniture. So what we need is a knowledge base about methods of instruction to supplement the creative, "art" aspect of training. Such a knowledge base would offer optimal methods for given situations.
- But what are the important situations that call for different methods? How can we tell what methods (tools) to use when?

What are the relevant kinds of learning?

Perhaps the most important aspect of the situation is the kind of learning that is to be facilitated. Knowing about the kinds of learning helps us to do a better job of teaching them. The most basic distinction is Benjamin Bloom's three domains:

Cognitive learning (thoughts), such as teaching someone to add fractions.

Affective learning (feelings, values), such as teaching someone to not want to smoke.

Physical or motor learning (actions), such as teaching someone to touch type.

MOTIVATION:-

- Motivation is one of the key factors driving us towards achieving something. Without motivation, we will do nothing. Therefore, motivation is one of the key aspects when it comes to corporate management. In order to achieve the best business results, the organization needs to keep employees motivated.
- In order to motivate the employees, organizations do various activities. The activities the companies do basically the results and findings of certain motivational theories.
- In simple words, motivation is the psychological feature that arouses an individual to action toward a desired goal.
- In other words, motivation is an incentive that generates goal-directed behaviors.
- The phrase Motivation Theory is concerned with the processes that depict why and how human behavior is activated and directed. It is regarded as one of the most important areas of study in the field of organizational behavior.
- There are several motivation theories; however none of them are universally accepted. No single theory can account for all aspects of motivation, but each of the major approaches contributes something to our understanding of motivation.
- Here is an bird-view of the most admired motivational theories.

1. Maslow’s Hierarchy of Needs

- Abraham Maslow proposed a theory in 1943, which he subsequently published in his book in 1954.
- It came to be known as “Maslow’s hierarchy of needs”.
- Maslow’s theory is represented as a pyramid with layers of needs – basic needs at the bottom, and the subsequent layers above representing ‘evolved’ needs that motivate individuals.
- Bottom four levels of the pyramid are termed as ‘deficiency needs’ – which means that their absence will make an individual tense and stressful. The top layer goes beyond the needs of these four layers, and is driven by the constant need to become a better individual.
- Maslow also concluded that these stages are not attained in pure sequence, man’s mind being a complex mechanism, needs from different layers are felt simultaneously, and they are interrelated.
- Abraham Maslow’s message is that people do not work for security or money. They work to contribute and to use their skills. Maslow calls this ‘self-actualization’. He created a pyramid to show how people are motivated and said that one cannot ascend to the next level until the levels below are fulfilled.

- One of the most widely mentioned theories of motivation is the Hierarchy of Needs theory by psychologist Abraham Maslow.
- Maslow saw human needs in the form of a hierarchy, ascending from the lowest to the highest, and he concluded that when one set of needs is satisfied, this kind of need ceases to be a motivator.

  Needs can be categorized as:
- **Physiological:** These are important needs for sustaining the human life. Food, water, warmth, shelter, sleep, medicine and education are the basic physiological needs which fall in the primary list of need satisfaction. Maslow believed that until these needs were satisfied to a degree to maintain life, no other motivating factors can work.

-
- **Security or Safety:** These are the needs to be free of physical danger and of the fear of losing a job, property, food or shelter. It also includes protection against any emotional harm.

- **Social:** Since people are social beings, they need to belong and be accepted by others. People try to satisfy their need for affection, acceptance and friendship.

- **Esteem:** According to Maslow, once people begin to satisfy their need to belong, they tend to want to be held in esteem both by themselves and by others. This kind of need produces such satisfaction as power, prestige status and self-confidence. It includes both internal esteem factors like self-respect, autonomy and achievements and external esteem factors such as states, recognition and attention.

- **Self-Actualization:** Maslow regards this as the highest need in his hierarchy. It is the drive to become what one is capable of becoming; it includes growth, achieving one's potential and self-fulfillment. It is to maximize one's potential and to accomplish something.

2. Expectancy Theory

This was proposed by Victor Vroom of Yale School of Management in 1964. This is based on the assumption that people choose a specific behavior based on their expectation of the intended result. He introduced three variables –

- **Expectancy (E)** : Expectation leads to desired Performance
- **Instrumentality (I)** : Performance leads to favorable Outcome (rewards such as promotion, salary increase)
- **Valence (V)** : This is the importance one places on rewards, based on their needs, goals and sources of motivation

Expectancy theory can help managers in understanding how people behave, what choices will they make when alternatives are available. Managers can understand people's expectation towards desired performance and tie specific rewards to outcomes in order to motivate them.

On a closing note,

We saw the motivational theories required for project managers to hone their craft. Have you seen the **modern** version of Maslow's hierarchy of needs?

3.Herzberg's Two Factor Theory

- Herzberg's Motivation Theory model, or Two Factor Theory, argues that there are two factors that an organization can adjust to influence motivation in the workplace.
- The two factors identified by Herzberg are motivators and hygiene factors.
- Frederick Herzberg, introduced his Two Factor Theory in 1959. He postulated that two factors contribute to motivation: hygiene factors and motivators

1. Hygiene factors: These won't encourage employees to work harder but they will cause them to become unmotivated if they are not present.

- Examples of hygiene factors are salary, other company benefits, work culture, and relationships with peers and managers. These factors are important to prevent dissatisfaction among the employee.
- The absence of hygiene factors will cause employees to work less hard. Hygiene factors are not present in the actual job itself but surround the job.

2.Motivators: Which can encourage employees to work harder.

- They are intrinsic factors such as sense of recognition, responsibility, accomplishment and personal growth.
- The presence of motivators causes employees to work harder. They are found within the actual job itself.

Motivating factors include:

- **Achievement:** A job must give an employee a sense of achievement. This will provide a proud feeling of having done something difficult but worthwhile.
- **Recognition:** A job must provide an employee with praise and recognition of their successes. This recognition should come from both their superiors and their peers.
- **The work itself:** The job itself must be interesting, varied, and provide enough of a challenge to keep employees motivated.
- **Responsibility:** Employees should “own” their work. They should hold themselves responsible for this completion and not feel as though they are being micromanaged.
- **Advancement:** Promotion opportunities should exist for the employee.

- Growth: The job should give employees the opportunity to learn new skills. This can happen either on the job or through more formal training.

Hygiene factors include:

- **Company policies**: These should be fair and clear to every employee. They must also be equivalent to those of competitors.
- **Supervision**: Supervision must be fair and appropriate. The employee should be given as much autonomy as is reasonable.
- **Relationships**: There should be no tolerance for bullying or cliques. A healthy, amiable, and appropriate relationship should exist between peers, superiors, and subordinates.
- **Work conditions**: Equipment and the working environment should be safe, fit for purpose, and hygienic.
- **Salary**: The pay structure should be fair and reasonable. It should also be competitive with other organizations in the same industry.
- **Status**: The organization should maintain the status of all employees within the organization. Performing meaningful work can provide a sense of status.
- **Security**: It is important that employees feel that their job is secure and they are not under the constant threat of being laid-off.

Limitations of the Theory

Some common criticisms of Herzberg's Motivation Theory include:

- The theory only applies to white collar workers.

- It doesn't take an individuals situation or perception into consideration. We have attempted to address this above by applying the theory at an individual level.

- The theory focuses on improving employee satisfaction. That doesn't necessarily translate into increased productivity.

- There is no objective way to measure employee satisfaction within the theory.

- Two Factor Theory is subject to bias. For example, when an employee is satisfied they will give themselves credit for that satisfaction. Conversely, when they are dissatisfied they will blame external factors.

4. The Taylorist model

- Taylor’s Motivation Theory is premised on the fact that employees are motivated to be productive by one thing. Money.
- Because of this, Taylor believed that management should exercise close control over employees, to ensure that they were getting their money’s worth.
- Taylor's theory was actually the first of many motivational theories in business. Taylor’s theory, also called Scientific Management, could also be called the *money as a motivator theory*. It was one of the first theories of motivation in the workplace, notes EPM: Expert Product Management.
- Taylor's viewpoint is reflected in the use of piece-rates in manufacturing industries and sales bonuses amongst sales forces. A problem that project leaders must be aware of is that piece-rates often cause difficulties if a new system is going to change work practices.
- If new technology is going to improve productivity, the question of adjusting piece-rates dow nwards to reflect this will be a sensitive issue.
- Piece-rates are where workers are paid a fixed sum for each item they produce Day-rates refer to payment for time worked.
- Usually, radical changes in work practices have to be preceded by a move from piece-rates to day-rates.

WORKING IN GROUPS(Do from book pg no. 265)
BECOMING A TEAM: (Do from book pg no. 265)Z

DECISION MAKING(Do from book if not understandable then do from here)

- Decision making is a daily activity for any human being. There is no exception about that. When it comes to business organizations, decision making is a habit and a process as well.
- Effective and successful decisions make profit to the company and unsuccessful ones make losses. Therefore, corporate decision making process is the most critical process in any organization.
- In the decision making process, we choose one course of action from a few possible alternatives. In the process of decision making, we may use many tools, techniques and perceptions.
- In addition, we may make our own private decisions or may prefer a collective decision.
- Usually, decision making is hard. Majority of corporate decisions involve some level of dissatisfaction or conflict with another party.
- Let's have a look at the decision making process in detail.

Steps of Decision Making Process:-

Following are the important steps of the decision making process. Each step may be supported by different tools and techniques.

Step 1: Identification of the purpose of the decision

In this step, the problem is thoroughly analysed. There are a couple of questions one should ask when it comes to identifying the purpose of the decision.

- What exactly is the problem?
- Why the problem should be solved?
- Who are the affected parties of the problem?
- Does the problem have a deadline or a specific time-line?

Step 2: Information gathering

A problem of an organization will have many stakeholders. In addition, there can be dozens of factors involved and affected by the problem.

In the process of solving the problem, you will have to gather as much as information related to the factors and stakeholders involved in the problem. For the process of information gathering, tools such as 'Check Sheets' can be effectively used.

Step 3: Principles for judging the alternatives

In this step, the baseline criteria for judging the alternatives should be set up. When it comes to defining the criteria, organizational goals as well as the corporate culture should be taken into consideration.

As an example, profit is one of the main concerns in every decision making process. Companies usually do not make decisions that reduce profits, unless it is an exceptional case. Likewise, baseline principles should be identified related to the problem in hand.

Step 4: Brainstorm and analyse the different choices

For this step, brainstorming to list down all the ideas is the best option. Before the idea generation step, it is vital to understand the causes of the problem and prioritization of causes.

For this, you can make use of Cause-and-Effect diagrams and Pareto Chart tool. Cause-and-Effect diagram helps you to identify all possible causes of the problem and Pareto chart helps you to prioritize and identify the causes with highest effect.

Then, you can move on generating all possible solutions (alternatives) for the problem in hand.

Step 5: Evaluation of alternatives

Use your judgement principles and decision-making criteria to evaluate each alternative. In this step, experience and effectiveness of the judgement principles come into play. You need to compare each alternative for their positives and negatives.

Step 6: Select the best alternative

Once you go through from Step 1 to Step 5, this step is easy. In addition, the selection of the best alternative is an informed decision since you have already followed a methodology to derive and select the best alternative.

Step 7: Execute the decision

Convert your decision into a plan or a sequence of activities. Execute your plan by yourself or with the help of subordinates.

Step 8: Evaluate the results

Evaluate the outcome of your decision. See whether there is anything you should learn and then correct in future decision making. This is one of the best practices that will improve your decision-making skills.

Leadership

- Leadership means directing, motivating and organizing groups of people for performing the set tasks.
- Leaders must have the quality to lead the groups of people. They must have the capability to inspire others and must make them perform the tasks timely.
- Project leadership plays a very important part in project management. Each leader has own leadership style and the style differs from person to person, which depends upon their experiences, philosophies and their personalities. Leadership styles is the behavior of the leaders towards the team they are leading.
- The different kinds of leadership style will have different effects on the environment and the output produced by the team.
- Project leadership, most simply, is the act of leading a team towards the successful completion of a project. But of course, it is much more than that. It's about getting something done well through others.
- There are different leadership styles that a project leader must have, in order to be effective in their role in leading the teams.
-

The different kinds of leadership styles are:

- **The Autocratic Leadership Style**: The leaders have all the authority and they give instructions to the team what all tasks have to be done and how it is to be achieved.
- **The Democratic Leadership Style**: In this style the leaders focus to build group consensus and commitments in the team management of decision making processes. The leaders participate with the team and greatly motivate the team members which is very important for the organization in achieving their goals.
- **The Coercive Leadership Style**: This style is used by the project leaders when they issue orders in the manner when there is only one direction of communication. The leaders give a direct order to to the team and they have strong control over the situations.
- **The Authoritative Leadership Style:** The leaders share the vision with the team, and allows the team to give their input in the decisions. The leaders motivate the team members and the team's contribution is given greater value.
- **The Affiliative Leadership Style**: This style is used by the leader to encourage every member, promote cooperation and team harmony.
- **The Pacesetting Leadership Style**: The leadership style in which high performance standards are set and the team members have the capability to achieve the goals with less supervision.
- **The Coaching Style:** In this style the leaders teach and allows the team in identifying the strengths and weaknesses. The team is given full support and encouragement, and the mistakes are considered as learning opportunities in the development processes.
- **The Transformational Leadership Style:** This kind of style is helpful when the organization is going through some changes and the team members are being replaced. At this stage the leaders can motivate the team by creating new styles and inspire them with enthusiasm and positive styles.
- The Free-rein Leadership Style: The leaders do not direct the team members on how to perform a task. They only assign the tasks and the time period by which it has to be achieved.
- The team has complete freedom to make decision on policies and methodologies to be adopted for the goal achievement.

Thus, the good leaders are those leaders who use the styles proficiently according to the situation.

Organizational Structures:-

An **organizational structure** defines how activities such as task allocation, coordination and supervision are directed towards the achievement of organizational aims.

An organizational structure is a standard hierarchy of operations. It defines how you can divide, coordinate, and direct groups. More so, it defines the positions and describes the tasks required to achieve an organization's objectives and vision.

Organizational structures aren't set in stone and are tweaked as per the organization's size, needs, and their philosophy.

It can also be considered as the viewing glass or perspective through which individuals see their organization and its environment.

- **Structure gives members clear guidelines for how to proceed.** A clearly-established structure gives the group a means to maintain order and resolve disagreements.
- **Structure binds members together.** It gives meaning and identity to the people who join the group, as well as to the group itself.
- **Structure in any organization is inevitable** -- an organization, by definition, implies a structure. Your group is going to have some structure whether it chooses to or not. It might as well be the structure which best matches up with what kind of organization you have, what kind of people are in it, and what you see yourself doing.

E L E M E N T S O F S T R U C T U R E

- While the need for structure is clear, the best structure for a particular coalition is harder to determine. The best structure for any organization will depend upon who its members are, what the setting is, and how far the organization has come in its development.

- Regardless of what type of structure your organization decides upon, three elements will always be there. They are inherent in the very idea of an organizational structure.

They are:

- Some kind of governance
- Rules by which the organization operates
- A distribution of work

Features of an Organizational Structure

Apart from the features above, other factors that influence tTagshe organizational structure are:

- Degree of alignment with organizational objectives
- Accountability assignment
- Delegation of Capabilities
- Simplicity of Design
- Physical locations

Types of Organizational Structures

1. Organic or Simple Organization

This type of organization is very flexible and able to adapt well to market changes.

This structure is characterized by having few rules, regulations and management layers and a decentralized decision making a layout.

The organic organization's design deals well with a rapidly changing environment. People work side-by-side to communicate quickly and often solving unforeseen problems, issues and requirements.

Here, the project manager has very little or no authority, and may or may not have a designated job role.

2. Line Organization

This is the simplest form of organizational structure commonly adopted by small companies. It has well-defined authority levels in the hierarchical structure. Power flows from the top down to different operational levels or workers.

The hierarchical structure clearly defines authority, responsibility, and accountability at each level.

Due to its simplicity, authority and responsibilities are transparent and easily traceable. Communication is fast and easy because employees get quick feedback and respond fast.

The project manager performs duties based on position or authority in the hierarchy. Some organizations don't have this position, but when they do, they may have little or nothing to do.

3. Line and Staff Organization

The Line and Staff Organization is a modification of the Line Organization. Here, functional specialists work with line managers to guide and advise them.

This structure is more common in present-day, and most of the larger enterprises adopt this type of set up.

The staff consists of two categories; the general and the specialized team.

General Staff

The general staff consists of the ordinary employees that assist the top management. These staff aren't experts

Specialized Staff

This team consists of experts that offer services to the organization. Their roles can be advisory, control (as in quality control), or service (such as maintenance).

The Line and Staff Organization uses the expertise of specialists. So the line managers become better in several fields.

Advantages

- Staff can make quality decisions, get support from specialists, and enjoy better coordination.
- Get training to enhance skills, get an opportunity to work in research & development.

Disadvantages

- Increased confusion and conflicts among the staff
- Higher costs on hiring specialist
- A tendency to develop personal image within the group

4. Functional Organization

The Functional Organization groups workers based on their area of specialization. This structure is an extension of the Line Organization. The functional manager leads the team and manages all the operations or businesses.

The Functional Organization manager enforces directives within a clearly defined scope of authority. This concept originated with Fredrick W. Taylor.

Here you classify workers according to their functional roles and department. Some of the general departments under this are

- Finance

- HR

- Sales

- Customer service

- Supply Chain, etc.,

The organization's head is the president, followed by the vice president, and the chain goes on. Furthermore, the leaders of departments foresee their departmental performance. So they collectively help the organization control quality and uniformity.

The structure positions departments vertically and disconnected from others. Hence the name “silos.” The department heads manage communication between the top management and his subordinates.

The project manager has a minimal role to play or may not have a designated position. Generally, you'll play the role of an expediter or work as a coordinator. While as a functional manager, you'll deal with

- Budget allocation

- Resource allocation, and

- Decision making.

This type of organization is suitable for manufacturing or engineering companies. It supports ongoing operations and practices for producing standard products.

Advantages

Some of the main benefits of this type of organization are:

- It groups employees based on functional skills for a higher degree of performance.
- Employees have experience in the same field, resulting in higher output. Also, they deliver high-quality

results.

- Accountability is evident, as the roles and responsibilities are clearly defined.
- Hierarchy is visible and no need for multiple reporting
- No duplication of work as each department is different. Also, the job description is clear.
- Career path for the staff is clear and visible

Disadvantages

- Employees get bored from the routine and lose enthusiasm.
- It limits the management skills of functional managers. Hence, they face restrictions on their growth pa they're not prepared for top management posts.
- Departments are more concerned with their departmental goals. Hence may be less responsive to the
- Hiring costs are too high as high-skilled employees cost more.
- It causes conflicts in making critical decisions as a result of bureaucratic hierarchy. Functional manager make arbitrary decisions.

5. Divisional Organization

This type of organization often resembles a Functional Organization. The team members work in different departments. This setup splits the employees into segments based on products, markets, or services.

Albeit, the divisional organization's segments or division are autonomous. Functional units that support this structure include:

- Operations,

- Marketing,

- R & D department, and

- Personnel, etc.

This design focuses on service lines like products, customers, area, and time. Since they operate as small organizations, they're called “self-contained structures.”

So they work independently on divisional goals. But all divisions collectively meet the organizational policies and business objectives.

This type of organization is suitable for companies that

- Operate in different geographical locations,
- Have chain stores with subsidiaries, and
- Banking and insurance business

Here, the project managers may or may not exist or may be hired on temporary assignments.

Advantages

- People work in different geographical locations and enjoy different work environments
- Share ideas and enhance skills, thereby creating a collaborative work culture. Thus enhancing overall p

Disadvantages

- This structure affects the integration of the organization as a whole.
- The autonomous nature often results in duplication of functions and resources.
- Segmentation creates boundaries among divisions and may lead to poor inter-unit coordination

6. Project Organization

Project organization is a temporary setup formed for specific projects.

It's also called “projectized organizational structure.” The project manager assigned for the project is the head of this structure.

Once the project is complete, you may choose to dismantle this setup or move it to form a new project. In the case of a new project, the project manager might have to reshuffle the staff to fit the new plan. You’ll hire resources or specialists from different functional departments.

As a project manager, you can use allotted resources until completion and closeout. Albeit you're accountable for all the activities and timely completion of the project. In other words, you must spend based on the project budget.

The manager assigns clearly defined tasks to each of the team members, along with the complete schedule.

These types of organizations are useful when:

- The project scope is complete, and objectives are clearly defined

- Project is unique and independent

Advantages

- Easy to communicate, hence can stay up to date

- The team can have a strong sense of identity as all are working together to achieve a common goal
- Manage resources efficiently and effectively

Disadvantages

- No clear growth path for the team once the project gets completed
- It's expensive because the organization dedicates all the specialists for one single project.

7. Matrix Organization

This one is the combination of a projectized and functional organization. This hybrid organization overcomes the limitations of each organization. Here, both the functional and project managers share their respective authorities.

Project managers are generally responsible for

- Overall integration

- Project planning

- Execution of the project, and

- Completion of project activities.

All activities must be done using the assigned resources.

The functional managers are concerned with the operational aspects of the project. They're also responsible for providing technical guidance.

The functional staff specializes in the skills required for the project. Though project managers manage the project staff, functional managers control the process.

This type of organization is most useful when workers must share available resources. The combination achieves high efficiency and better usage of available resources. Also, they adapt better to the changing trends.

You can further classify the Matrix Organization into

- Balanced

- Strong and

- Weak

The authority level that both functional and project managers share determines its strength.

Advantages

- It helps in sharing resources efficiently
- Decision making is balanced and flexible
- Staff members can communicate with each other across boundaries
- Pleasant environment
- It has a clear career graph and job security; hence, members would be more loyal to the organization

Disadvantages

- The dual reporting structure add confusion and results in conflicts
- Create issues when there is no coordination between functional and project managers
- Resources may be under-utilized if you don't assign them with skill-related tasks
- Costly to maintain as it has many managers
- You need to maintain resources throughout the project, no matter how long it takes

8. Virtual Organization:- A virtual organization is a recent development that involves different locations. When your team executes a project in one area, you can manage it from any other place. So you can distribute resources to your project team regardless of location.

You can connect all the locations virtually. The other names for this organizational structure are:

- Digital organization
- Network organization, or
- Modular organization

ICT (Information and Communication Technology) is the backbone of virtual organizations. This organization is a social network without vertical and horizontal boundaries.

Resources aren't tied to a particular workstation (desk). Also, you can work from any mobile device. You can manage every project activity, including meetings, virtually. This setup is most suitable for software or IT companies.

Advantages

- Faster and cost-effective as there are no boundaries to work and communication.
- Lower operating costs as no permanent set up required (no need for office premises)
- Have several options like flexitime, part-time work, job-sharing, and home-based working, hence increased
- Employee satisfaction and efficiency
- Can have a larger talent pool

Disadvantages

- No physical contact or communication, thus, lacks team integrity
- Difficult to restrict information sharing as your locations are different
- You have to spread resources across various locations and time zones
- Resources require training for virtual interaction

- Different time zones cause delayed responses